TOPIC ③ · SAMPLE MC #3

Brand Architecture: House of Brands vs Branded House

📄 SAMPLE **HOW IT WAS ASKED**

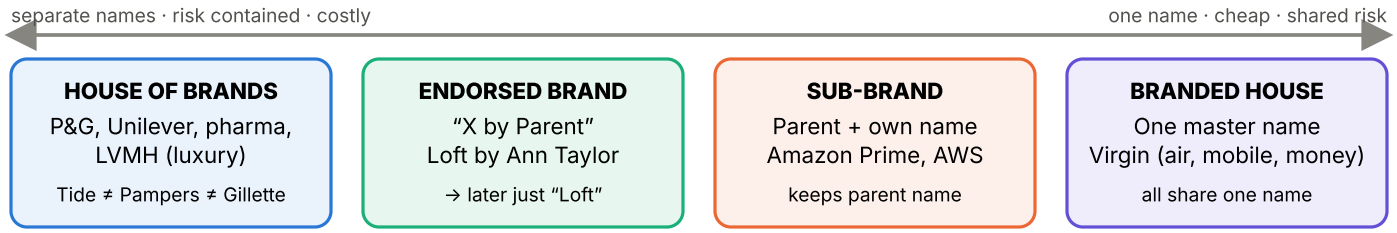
"...a firm very concerned about managing risk across their portfolio of brands. They have a division that invests in new, risky technologies; they want to make sure their more established brands are protected from problems that may arise if these new technologies fail. Which brand strategy would you expect?"

✔ **House of brands** · ✘ Branded house · ✘ Brand repositioning · ✘ Brand identity

Learn it

PLAIN ENGLISH

Brand architecture = how a company with many products organizes their names. Does everything carry ONE company name, or does each product get its OWN name? It's a trade-off between **saving money by sharing one famous name** and **protecting each brand from the others' problems**.



	✔ Pros	✘ Cons
House of Brands	Each brand can own its own segment; **a failure doesn't spread**; no dilution of other names	**Most expensive** (build every brand from scratch); brands may compete with each other
Endorsed	Borrows the parent's credibility; keeps its own identity; can "graduate" later	Bad news about the parent rubs off (negative spillover)

Sub-brand	Balances independence with the parent's equity	Can dilute the master brand if managed badly
Branded House	**Strongest single brand; cheapest to market** (every ad builds one name)	**One failure can hit the whole brand**

What Prof. Kahn said in class 🎤 CLASS

- "A house of brands is all new brands. Like **P&G**... they own a million different soap brands. But they don't leverage their brand name." Pharma and luxury do it too.
- Why? "They don't want to dilute the value of any brand name, and they're targeting different segments." **Pharma**: "there's too much risk. If one brand, God forbid, kills people, you don't want that to affect the whole portfolio." ← **this is the sample-question logic**
- "A **branded house** is obviously **cheaper** because I'm just building one brand."
- **Endorsed**: Ann Taylor's customers aged, so it launched "Loft by Ann Taylor"; as Ann Taylor got "older and tireder," they dropped it, and Loft is just Loft.
- **Sub-brand**: "you're planning on keeping the name the whole time," but growing into different segments.
- **LVMH** owns many luxury names without extending them, but gets **synergies**: back office, advertising dollars, real estate (best store locations, all together), and hiring designers who can move between brands.
- **Toyota → Lexus**: a new name because stretching "Toyota" into luxury wouldn't work. Kia is trying to move up under its own name.

GOALS OF ANY BRAND ARCHITECTURE

Strong brands · Synergy · Clarity · Leverage **Amazon** uses all four types at once (branded house: Amazon Basics; sub-brands: Prime, AWS; endorsed: Audible; house of brands: Zappos, Whole Foods, Twitch).

WHY THE SAMPLE'S DISTRACTORS ARE WRONG

"Brand repositioning" (changing what a brand means) and "brand identity" (what it stands for) are **not ways to organize a portfolio**. When the question says "protect established brands from a risky division," think **separate names = House of Brands**.

Practice: multiple choice (9), with answers

MC 1 [SAMPLE EXAM]

Imagine you are considering a job with a firm very concerned about managing risk across its portfolio of brands. It has a division investing in new, risky technologies and wants its established brands protected if those technologies fail. Which brand strategy would you expect?

- ✔ **CORRECT: House of brands**
- Branded house
- Brand repositioning
- Brand identity

EXPLANATION

Separate names act like firewalls: if the risky product fails, the other brands aren't stained. With one shared name (branded house), one failure hits everything.

MC 2 [SAID IN CLASS]

Why, according to Kahn, do pharmaceutical companies use a house-of-brands strategy?

- ✔ **CORRECT: Risk: if one drug harms people, it shouldn't damage the whole portfolio**
- It's the cheapest way to market
- Regulations require one master brand
- Doctors prefer one company name

EXPLANATION

'If one brand, God forbid, kills people, you don't want that to affect the whole portfolio.' Same logic as the sample question.

MC 3 [SAID IN CLASS]

The main advantage of a branded house (e.g., Virgin) is:

- **✔ CORRECT: It's cheaper: every dollar builds one brand**
- Failures are contained
- Each brand can own a separate segment
- There's no risk of dilution

EXPLANATION

'A branded house is obviously cheaper because I'm just building to one brand.' The downside is shared risk.

MC 4 [SAID IN CLASS]

'Loft by Ann Taylor' later became just 'Loft.' This shows:

- **✔ CORRECT: An endorsed brand that later stood on its own**
- A sub-brand
- A branded house
- A line extension

EXPLANATION

An endorsed brand borrows the parent's credibility at first. When Ann Taylor's image got 'older and tireder,' they removed it.

MC 5 [SAID IN CLASS]

A sub-brand differs from an endorsed brand because a sub-brand:

- **✔ CORRECT: Plans to keep the parent name permanently while growing into new segments**
- Always drops the parent name
- Uses no brand name
- Is only used in pharma

EXPLANATION

Sub-brand: 'you're planning on keeping the name the whole time' (Amazon Prime). Endorsed: the new brand may eventually go off on its own.

MC 6 [SAID IN CLASS]

LVMH owns many separate luxury brands. What does it gain without sharing one name?

- **✔ CORRECT: Synergies: back office, ad buying, prime store locations, and moving designers between brands**
- Lower prices
- A single master brand
- Protection from all competition

EXPLANATION

A house of brands can still share behind-the-scenes advantages.

MC 7 [SAID IN CLASS]

Toyota launched its luxury cars as 'Lexus' because:

- **✔ CORRECT: Stretching 'Toyota' into luxury wouldn't be credible and could dilute both**
- Lexus cars are made in a different country
- Toyota's name was trademarked
- Luxury buyers prefer longer names

EXPLANATION

When an existing name can't stretch, use a new one, even though it costs more.

MC 8 [SLIDES]

Which is NOT one of the goals of any brand architecture?

- **✔ CORRECT: Lowest possible price**
- Strong brands
- Synergy
- Clarity and leverage

EXPLANATION

The four goals: strong brands, synergy, clarity, leverage.

MC 9 [SLIDES]

Amazon uses Amazon Basics, Prime/AWS, 'Audible, an Amazon company,' and Zappos/Whole Foods. This shows Amazon:

- **✔ CORRECT: Uses a hybrid of all four architecture types**
- Is a pure house of brands
- Is a pure branded house
- Has no brand architecture

EXPLANATION

Branded house (Amazon Basics), sub-brands (Prime, AWS), endorsed (Audible), house of brands (Zappos, Whole Foods).

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

When should a company use a House of Brands versus a Branded House? Discuss the trade-offs, including endorsed brands and sub-brands.

What a full-credit answer covers

- House of brands: distinct segments, contains risk, avoids dilution; most expensive, internal competition (P&G, pharma)
- Branded house: cheapest, strongest single equity; one failure hits all (Virgin)
- Endorsed (credibility, spillover risk; Loft) and sub-brand (keeps parent name; can dilute)
- Decision factors: risk level, how different the segments are, budget, whether the name can stretch
- Goals: strong brands, synergy, clarity, leverage; example (Amazon hybrid, LVMH synergies)

MODEL ANSWER

It's a trade-off between leverage and risk. A Branded House (Virgin) puts one name on everything. It's the cheapest, since every ad builds one brand, and gives the strongest single equity, but one failure can hurt everything and stretching too far blurs the meaning. A House of Brands (P&G, pharma, LVMH) gives each product its own name, so each can target a distinct segment and failures are contained ('if one drug, God forbid, kills people...'). It's the most expensive and brands may compete with each other, though LVMH still gains back-office, advertising, real-estate, and talent synergies. In between, endorsed brands borrow parent credibility (Loft by Ann Taylor) but risk spillover, and sub-brands keep the parent name (Prime) but can dilute it. Choose based on risk, segment differences, budget, and whether the parent name fits.

SHORT ANSWER 2 (9 points)

A trusted consumer-electronics brand wants to launch an experimental AI device that might fail publicly. Recommend a brand architecture and justify it.

What a full-credit answer covers

- Identifies the risk of failure spilling over to the core brand
- Recommends a separate brand (house of brands) or an endorsed approach with clear reasoning
- Weighs the cost of building a new name vs the benefit of the parent's credibility
- Mentions the option to bring it under the parent name later if successful (Loft in reverse / graduation)
- Links to the sample logic (protect established brands) and goals (clarity, strong brands)

MODEL ANSWER

Because the device is experimental and could fail publicly, I'd protect the core brand by launching it under a separate name (house-of-brands logic, like the sample question's risky-technology division). A failure then stays contained. If the product needs credibility to get trial, a light endorsement ('from X') could help, but that brings back some spillover risk, so I'd use it only after early testing goes well. A separate brand costs more to build, so I'd keep the launch focused on early adopters. If it succeeds, the company can later bring it closer to the parent brand as a sub-brand to leverage synergy.

SHORT ANSWER 3 (9 points)

Explain why Toyota created Lexus while Kia is moving upmarket under its own name. What determines which approach works?

What a full-credit answer covers

- Vertical extension upward is hard: credibility of a mass name at luxury prices
- Toyota → new name protects both brands (no dilution, credible luxury positioning); costs more
- Kia: leverages existing equity, cheaper, but must overcome its value image (risky)
- Two-way test: the parent name must add value and the extension must add value back
- Conclusion on what decides it: brand perception, target segment, budget

MODEL ANSWER

Moving a brand up in price is a vertical extension, and it's hard because luxury buyers may not believe a mass-market name can be premium. Toyota judged that 'Toyota' would neither add value at luxury prices nor benefit from the stretch, so it created Lexus: more expensive to build, but credible, and it protects both brands. Kia is trying to move up under its own name, which leverages existing equity and costs less, but it must overcome a value image. Kahn: 'Is this gonna work? I don't know.' What decides it is the two-way test: does the parent name add value to the new product, and does the product enhance the parent? That depends on how customers currently see the brand, the target segment's expectations, and the budget for building a new name.